



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Year Ended 31 March 2018

ORIENT FINANCE PLC
INCOME STATEMENT

For the	Quater ended 31st March		Year ended 31st March		Variance %
	2018	2017	2018	2017	
	Rs. Unaudited	Rs. Audited	Rs. Unaudited	Rs. Audited	
Income	909,632,626	890,657,471	3,493,663,528	3,309,736,196	5.6%
Interest income	851,555,973	847,299,017	3,311,048,575	3,128,709,442	5.8%
Interest expenses	(512,847,642)	(509,139,540)	(2,116,906,558)	(1,836,496,004)	15.3%
Net interest income	338,708,331	338,159,477	1,194,142,017	1,292,213,438	-7.6%
Fee and commission income	30,119,208	32,335,118	112,111,650	129,889,739	-13.7%
Other operating income	27,957,445	11,023,336	70,503,303	51,137,015	37.9%
Total operating income	396,784,984	381,517,931	1,376,756,970	1,473,240,192	-6.5%
Impairment (charges)/reversal for loans and receivables from customers	(133,922,765)	(79,960,137)	(523,941,214)	(321,776,210)	62.8%
Net operating income	262,862,219	301,557,794	852,815,756	1,151,463,982	-25.9%
Operating expenses					
Personnel expenses	(80,472,000)	(68,577,574)	(371,422,307)	(323,775,954)	14.7%
Depreciation and amortization	(6,134,314)	(6,924,408)	(23,437,254)	(30,940,656)	-24.3%
Other operating expenses	(113,780,406)	(104,473,017)	(474,063,100)	(418,517,028)	13.3%
Operating profit before Value Added Tax and NBT	62,475,499	121,582,795	(16,106,905)	378,230,344	-104.3%
Value Added Tax and NBT on financial services	(24,701,093)	(31,125,691)	(55,366,426)	(76,750,858)	-27.9%
Profit before income tax	37,774,406	90,457,104	(71,473,331)	301,479,486	-123.7%
Income tax expense	-	(13,126,983)	(5,152,392)	(43,803,275)	-88.2%
Profit for the Period	37,774,406	77,330,121	(76,625,723)	257,676,211	-129.7%
Other Comprehensive Income					
Available for sale financial assets - Net change in fair value	(3,331,990)	(4,113,356)	1,759,556	(377,544)	-566.1%
Other comprehensive income for the period	(3,331,990)	(4,113,356)	1,759,556	(377,544)	-566.1%
Total comprehensive income for the period	34,442,416	73,216,765	(74,866,167)	257,298,667	-129.1%
Basic earnings per share (Rs.)	0.23	0.49	(0.52)	1.74	
Diluted earnings per share (Rs.)	0.23	0.49	(0.52)	1.74	

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

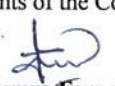
As At 31st March

	2018 Rs. Unaudited	2017 Rs. Audited
ASSETS		
Cash and cash equivalents	195,581,111	107,894,350
Available for sale financial assets	945,559,444	839,887,069
Loans and receivables from customers	14,526,073,175	16,416,103,144
Investments with banks and other financial institutions	754,474,257	369,160,064
Other assets	221,355,764	197,047,025
Real estate stock	16,779,715	22,469,524
Deferred tax asset	272,289,512	275,622,280
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	1,975,920	105,510
Property, plant and equipment	420,618,078	421,315,170
Total assets	18,155,132,722	19,450,029,882
LIABILITIES		
Bank overdrafts	138,490,215	598,251,884
Deposits from customers	11,852,625,030	9,565,559,962
Interest bearing borrowings	1,806,789,942	4,815,150,455
Term debts	998,261,067	985,716,469
Redeemable preference shares	456,209,985	406,954,566
Current tax payable	-	2,136,340
Other liabilities	462,984,472	530,785,736
Non-interest bearing security deposits	41,828	848,126
Retirement benefit obligations	51,873,885	44,899,285
Total liabilities	15,767,276,424	16,950,302,823
EQUITY		
Stated capital	1,378,689,779	1,378,689,779
Statutory reserve fund	305,274,930	305,274,930
Available for sale reserve	213,964	(1,545,592)
Revaluation reserve	116,471,908	116,471,908
Retained earnings	587,205,719	700,836,034
Total equity	2,387,856,300	2,499,727,059
Total equity and liabilities	18,155,132,724	19,450,029,882
Net assets per share	16.13	16.89

Figures in brackets indicate deductions.

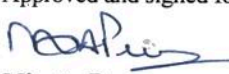
The financial statements are in compliance with the requirements of the Companies Act No.07 of 200


Sanjeeva Jayasinghe
Senior Manager - Finance


Mayura Fernando
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements

Approved and signed for and on behalf of the Board;


Minette Perera
Director


Prakash Schaffter
Director

31-May-18

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the year ended 31st March 2018,

	Stated Capital	Statutory reserve fund	Revaluation reserve	Available for sale value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st April 2016	1,378,689,779	292,391,119	116,471,908	(377,544)	455,805,711	2,242,980,973
Profit for the year	-	-	-	-	257,676,211	257,676,211
Written off of available for sale financial assets				-	-	-
Other comprehensive income net of taxes	-	-	-	(1,168,048)	237,923	(930,125)
Transfer to statutory reserve	-	12,883,811	-	-	(12,883,811)	-
Balance as at 31st March, 2017	1,378,689,779	305,274,930	116,471,908	(1,545,592)	700,836,034	2,499,727,059
Profit for the year	-	-	-	-	(76,625,723)	(76,625,723)
Other comprehensive income net of taxes	-	-	-	1,759,556	-	1,759,556
Dividend Paid					(37,004,592)	
Transfer to statutory reserve	-	-	-	-	-	-
Balance as at 31st March, 2018	1,378,689,779	305,274,930	116,471,908	213,964	587,205,719	2,387,856,300

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the year ended 31st March

	2018	2017
	Rs.	Rs.
	Unaudited	Audited
Cash flows from operating activities		
Profit before income tax expense	(71,473,331)	301,479,486
Adjustment for;		
Depreciation/Amortization	23,437,189	30,940,656
Profit on disposal of property,plant and equipment	2,445,325	(15,283,673)
Impairment charge/(reversal)	523,941,214	321,776,210
Finance expenses	2,116,906,558	1,836,496,004
Profit on sale of real estate	-	(6,105,716)
Investment income	(153,343,909)	(113,697,831)
Provision for gratuity	12,726,718	9,683,361
Operating profit before working capital changes	2,454,639,764	2,365,288,497
Change in loans and receivables to customers	1,366,088,755	(2,898,575,188)
Change in other assets	(24,308,739)	50,594,470
Change in deposits from customers	2,187,323,849	357,310,126
Change in other liabilities	(67,801,264)	(173,699,009)
Change in non interest bearing security margins	(806,298)	(1,042,979)
	5,915,136,067	(300,124,083)
Interest paid	(1,867,047,305)	(1,733,759,187)
Income tax paid	(2,498,544)	-
Gratuity paid	(5,752,118)	(3,306,664)
Net cash generated from /(used in) operating activities	4,039,838,100	(2,037,189,934)
Cash flows from investing activities		
Acquisition of property,plant and equipment	(27,222,666)	(17,962,347)
Proceeds from sale of property,plant and equipment	166,834	20,138,462
Proceeds from sale of real estate	5,689,809	30,044,042
Net change in available for sale financial assets	(103,912,819)	(84,931,013)
Net change in investments with bank and other financial institutions	(385,314,193)	63,169,149
Investment income received	153,343,909	113,697,831
Net cash generated from / (used in) investing activities	(357,249,126)	124,156,124
Cash flows from financing activities		
Interest bearing borrowings obtained	3,342,542,574	10,143,888,000
Repayment of interest bearing borrowings	(6,350,178,526)	(8,619,381,487)
Interest paid on debentures	(90,500,000)	(96,184,411)
Repayment of Debentures	-	(204,000,000)
Proceeds from Preference shares issue	-	400,049,600
Dividend paid	(37,004,592)	-
Net cash generated from /(used in) financing activities	(3,135,140,544)	1,624,371,702
Net change in cash and cash equivalents	547,448,430	(288,662,108)
Cash and cash equivalents at the beginning of the year	(490,357,534)	(201,695,426)
Cash and cash equivalents at the end of the year (Note A)	57,090,896	(490,357,534)
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	141,293,580	85,700,169
Cash at bank	54,287,531	22,194,181
Bank overdrafts - secured	(138,490,215)	(598,251,884)
	57,090,896	(490,357,534)

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2017. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2017.
- 5 2017/18 was an exceptionally challenging financial year for OFP mainly due to internal restructuring plans but also as a result of volatile operating environment, which weighted down the overall financial sector in Sri Lanka. The macro environment of high interest rates and inflation caused operating costs to increase from Rs. 774 mn to Rs. 869mn while narrowing the net interest margins. Increased risk exposure towards borrowers ability to repay loans has resulted in increase of provision by Rs. 202mn. The changes in loan-to-value ratio particularly applicable to three wheelers and cars tightened the demand for leasing.
 Company closed the year with a loss of Rs. 76.6 Mn. This can be primarily attributed to higher provisioning and the depletion of the Net Interest margin compared to the previous year.
 Despite the negative market for leasing, OFP grew in the Gross Gold Loan portfolio to Rs. 301.7 Mn. Although relatively new in the Gold Financing sector, Company continued to gain ground in this segment, with a remarkable growth of Gold Loan portfolio closer to 500% compared to the previous year.
 Improving the quality of our loan portfolio is a priority for the Company and emphasis was placed on strengthening and building capacity in the Recovery Department with more stringent recruitment, training & related guidelines. These efforts have resulted in a PAT of Rs. 37.7mn in the 4th quarter of 2017/18.

Listed Debenture Information

Debenture	31-Mar-18 Rs	31-Mar-17 Rs
Debentures Issued in 2014	1,000,000,000	1,000,000,000
	<u>1,000,000,000</u>	<u>1,000,000,000</u>
Debenture	31-Mar-18	31-Mar-17
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.47	6.53
Interest Coverage Ratio (Times)	1.01	1.17
Liquid Asset Ratio	8.95%	6.30%
Interest Rate of comparable Government Securities	9.68%	11.97%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*

* N/T - Not Traded

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	31st March 2018	31st March 2017
Value of Ordinary Shares (Rs.)	1,378,689,780	1,378,689,780
No. of Ordinary Shares	148,018,370	148,018,370
Share Price During the Period	For the Quarter Ended	
	31-Mar-18	31-Mar-17
Highest (Rs)	21.70	13.90
Lowest (Rs)	13.30	9.00
Closing (Rs)	18.90	9.20

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 31st March 2018**

	Name	No. of Shares	%
1	Janashakthi PLC	132,940,720	89.81
2	First Capital PLC	2,860,041	1.93
3	Seylan Bank Plc/ S.R. Fernando	695,328	0.47
4	Mr. L.P.Mendis	566,495	0.38
5	Mr. A.S.A.Fernando	529,288	0.36
6	Mr. K.S.S. Peris	512,209	0.35
7	Mr. R.A.B.K.Kumara	500,000	0.34
8	M/S Merchant Bank of Sri Lanka/ J. Hewa Wanithunga	344,541	0.23
9	M/S Commercial Credit And Finance Plc	330,000	0.22
10	Mr.N.L.S.Fernando	329,177	0.22
11	M/S Colombo Trust Finance PLC / K.A.C.Duminda	246,000	0.17
12	Mr. A.K.D.S.Karunaratna	234,950	0.16
13	Mr. G.A.C.De Silva	211,000	0.14
14	Ms. H.K.S.Priyadarshani	200,000	0.14
15	Mr. W.K.R.Jayakody	198,000	0.13
16	Dr. N.C.N, Amarasena	195,000	0.13
17	Mr .K.Rajakanthan	189,158	0.13
18	Mr.D.M.S.V.Abeyratne	175,679	0.12
19	Mr.R.P.L.Halgahawela	150,510	0.10
20	Mr.R.E.Rambukwella	149,000	0.10
	Others	6,461,274	4.37
	Total	148,018,370	100.00

Directors' Shareholding as at 31st March 2018

	Name of the Director	No. of Shares	%
1.	Dr. D.C. Jayasuriya PC - Chairman	-	-
2.	Mr. Prakash Schaffter	10	-
3.	Mrs. Lakshmi K. Gunatilake	-	-
4.	Mr. Ananda W. Atukorala	-	-
5.	Mr. K. M. A. T. B. Tittawella	-	-
6.	Ms. Minette D. A. Perera	-	-
7.	Ms. Indrani Goonesekara	-	-
		10	-
8.	Mr. Ramesh Schaffter (Appointed w.e.f 29th March 2018)		
	Total	20	-

CEO's Shareholding as at 31 March 2018

Mr.Mayura Fernando	-	-
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Public Holding as at 31st March 2018

Number of Public Shareholders	15,077,610	10.18
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ORIENT FINANCE PLC
FINANCIAL REPORTING BY SEGMENTS
Business Segments

The company has two reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing and loans - Provision of hire purchase and leasing facilities to customers

Factoring - Debt factoring

	Finance leases, hire purchases and loans		Factoring		Unallocated		Total	
	31.03.2018 Rs	31.03.2017 Rs	31.03.2018 Rs	31.03.2017 Rs	31.03.2018 Rs	31.03.2017 Rs	31.03.2018 Rs	31.03.2017 Rs
Interest income	2,888,418,050	2,780,166,226	237,721,529	229,367,517	184,908,996	119,175,699	3,311,048,575	3,128,709,442
Fee and commission income	73,185,829	81,959,493	38,300,030	47,288,126	625,791	642,120.00	112,111,650	129,889,739
Other income	61,252,235	22,490,458	-	-	9,251,068	28,646,557	70,503,303	51,137,015
Total segmental income	3,022,856,114	2,884,616,177	276,021,559	276,655,643	194,785,855	148,464,376	3,493,663,528	3,309,736,196
Less: Interest expense	(1,932,097,134)	(1,668,162,501)	(140,905,183)	(162,621,651)	(43,904,241)	(5,711,852)	(2,116,906,558)	(1,836,496,004)
Segmental results	1,090,758,980	1,216,453,676	135,116,376	114,033,992	150,881,614	142,752,524	1,376,756,970	1,473,240,192
Depreciation and amortization	(21,391,141)	(28,104,631)	(1,560,026)	(2,739,794)	(486,084)	(96,231)	(23,437,251)	(30,940,656)
Impairment (charge)/ reversal	(425,180,563)	(299,250,210)	(99,125,924.00)	(20,829,000)	365,279.00	(1,697,000)	(523,941,208)	(321,776,210)
Other Expenses	(497,647,662)	(454,826,628)	(31,610,533)	(42,686,460)	(371,593,639)	(321,530,752)	(900,851,833)	(819,043,840)
Income tax	-	-	-	-	(5,152,392)	(43,803,275)	(5,152,392)	(43,803,275)
Profit after tax	146,539,614	434,272,207	2,819,893	47,778,738	(225,985,221)	(224,374,734)	(76,625,714)	257,676,211
Segmental assets	13,257,923,097	14,911,400,633	966,882,073	1,453,645,309	3,930,327,552	3,083,747,496	18,155,132,722	19,450,029,882
Segmental liabilities	234,445,446	423,089,194	-	-	15,532,830,978	16,533,259,878	15,767,276,424	16,950,302,823